

Document 3: S3 — FVG & Precision Entry Refinement (Max Score: 8)

1) Overview

- **Code:** S3
- **Tier:** 2 (Core Rule) — **Refinement module** (NOT a gate)
- **Purpose:** Improve entry precision and risk-to-reward by validating **Fair Value Gaps (FVGs)** in the right context (mainly around **S2 OB / Demand-Supply zones**)
- **Max Score:** 8
- **Status:**  Approved
- **Precedence:** Runs **after S2**, and its best use is when it aligns with **S2 + S4 + S5**
- **Important Principle:**
 -  **S3 is not a gate** → A trade can exist without S3
 -  But **negative S3 invalidates the setup** (quality too poor / trap-like)

2) Definitions (Short + Practical)

What is an FVG (in your framework)?

An FVG is a price imbalance created by displacement (fast move) where price "skips" an area.

In practice, you'll treat it as a precision retracement entry zone—but only if it's real, clean, and context-backed.

3) Scoring Structure (Total = 8)

S3 is split into 3 components:

- A) FVG Strength (Max 4)
- B) FVG-OB Confluence (Max 3)
- C) FVG Freshness (Max 1)

A) Component A — FVG Strength (Max: 4)

This checks if the FVG is **meaningful** (institutional displacement) or just random noise.

A1) Displacement Quality (Max: 2)

Score:

- 2 = Strong displacement created the FVG (large impulsive candle(s), clear break from prior structure)
- 1 = Moderate displacement
- 0 = Weak / choppy / unclear imbalance

✓ Logic: Stronger displacement = higher probability that imbalance attracts a retrace fill + continuation.

A2) FVG Size + Candle Quality Filter (Max: 2)

Score:

- 2 = Clean FVG with visible gap/imbalance and "proper" candle bodies
- 1 = Small but still valid **if supported by S2/S4/S5 context**
- 0 = **Ignore**: "Standalone" tiny FVGs OR FVG created by small candles / messy chop

✅ Mandatory Rule (Approved):

- **Standalone or small-candle FVGs are ignored**
- If it looks like noise, it is noise.

B) Component B — FVG–OB Confluence (Max: 3)

*This is the **most important** part of S3.*

*Your framework treats FVG as **precision**, but OB as the **real institutional zone**.*

B1) Location vs S2 OB/Zone (Max: 2)

Score:

- 2 = FVG **lies inside / overlaps / originates from** the S2 OB or Demand/Supply zone
- 1 = FVG is **near the OB** (close proximity, still usable)
- 0 = Far from OB; no structural justification

✅ Logic:

FVG without OB context has lower edge.

FVG + OB = "institutional footprint + precision entry."

B2) Alignment with Liquidity Event (S4) or Structure (S5) (Max: 1)

Score:

- 1 = FVG forms **after a sweep** (S4) or along with BOS/CHoCH confirmation (S5)
- 0 = No such alignment

✓ Logic:

- Sweep → Displacement → FVG → Retrace → Entry

This is a clean institutional sequence.

C) Component C — FVG Freshness (Max: 1)

C1) Unfilled / Untouched FVG (Max: 1)

Score:

- 1 = Fresh / unfilled / first revisit
- 0 = Already filled/mitigated multiple times

✓ Logic:

Like OB freshness—retests weaken the edge. A "used" FVG loses its precision advantage.

4) Negative Scoring (Invalidation Rules)

S3 includes penalties because low-quality FVGs often create false confidence.

Negative Conditions (Typical)

- -2 = FVG is "fake" (created in chop, micro candles, messy overlap)
- -1 = FVG appears against the higher timeframe bias or directly into opposing supply/demand
- -1 = FVG is already filled + still being used as "entry precision" (late/trap)

✓ Hard Rule (Approved):

- If S3 total becomes negative → Setup is INVALIDATED

This is one of the few "quality kill-switches" inside Tier 2.

5) Final S3 Score Interpretation

- 7-8: Elite precision entry (best when paired with S2 + S4 + S5)
- 4-6: Good refinement, usable
- 1-3: Minor help only; don't rely on it
- 0: Neutral (no benefit, but not a block)
- <0: ✗ Invalidate setup (trap-quality FVG)

6) Precedence & Interactions (How S3 is USED)

✓ S3 is NOT a Gate

- You can take a setup with S2/S4/S5 strong even if S3 is weak/0.

✓ But S3 Improves Entry Quality

S3 helps you:

- choose exact entry zone
- reduce SL distance
- improve RR
- avoid "late entries" after big moves

7) Best "Institutional Sequence" Template (Practical)

This is the sequence your framework implicitly provides:

- 1) Price approaches HTF OB (S2 strong)
- 2) Liquidity sweep occurs (S4 confirms)
- 3) Displacement creates BOS/CHoCH (S5 confirms)
- 4) Displacement leaves FVG (S3 identifies)
- 5) Price retraces into FVG within OB
- 6) Entry triggers with tight risk & high RR
- 7

This is why S3 is called **Precision Entry Refinement**.

8) Quick Examples (How you'd apply)

Example A: Ideal Bullish Setup

- S2: Monthly/Weekly demand OB present
- S4: Sweep below demand (stop hunt)
- S5: CHoCH then BOS up
- S3: Bullish FVG inside OB created by displacement
 - ✓ S3 likely scores 6–8 → sniper entry zone

Example B: FVG Trap

- FVG appears mid-range in chop
- Not near OB
- Already partially filled
 - ✗ S3 goes 0 or negative → ignore / invalidate

9) "What to Ignore" (Non-negotiable Filters)

- ✗ Standalone tiny FVGs without context
 - ✗ FVGs formed by small candles in consolidation
 - ✗ FVGs far away from S2 zones
 - ✗ FVGs already heavily mitigated
 - ✗ FVGs that contradict S4/S5 narrative
-